

must do four things, says Dwivedi. First, establish a national programme tasked with running continuous AI-powered vulnerability discovery across every software platform and hardware component used in defence networks and critical installations. Second, New Delhi must develop its own offensive AI capabilities—to ensure it can credibly operate in the intelligence domain. Also, rather than rely on generalised global models, India needs to train sovereign AI models on its own intelligence holdings so that the results reflect its specific threat environment. Lastly, it must reduce the response time gap, enabling its systems to detect, patch and neutralise threats in hours.

Ankush Tiwari, CEO of pi-labs.ai, an AI firm, says Mythos represents a paradigm shift in cyber warfare. "Just as machine guns enabled high-volume fire that overwhelmed defences, Mythos reduces discovery of weaknesses from hundreds of man-hours to mere seconds or minutes with tireless efficiency, creating an asymmetric advantage," he says. According to him, Mythos poses a threat in the short term, but when harnessed ethically, it holds immense potential for proactive defence.

Experts point out that to counter such adaptive threats as Mythos, organisations must prioritise air-gapped infrastructure, strict data sovereignty and develop AI models that remain under internal control. Ultimately, Mythos signals the urgent need to move beyond third-party AI solutions towards self-reliant architectures.■

with regulators claiming it made thousands of crores in unlawful gains by moving index levels intraday to profit from derivatives. Jane Street has denied any wrongdoing. Imagine such strategies becoming self-learning and operating across multiple institutions simultaneously. That is what has spooked money and capital markets globally. Regulators increasingly view this as digital systemic risk, one that does not replace traditional risks but amplifies them unpredictably.

New Threats, New Defences

Finance may be the immediate concern, but Kamdar points to public infrastructure, identity systems, utilities and healthcare as exposed sectors. Hospital networks increasingly integrate patient records, billing systems and medical devices. Pharmaceutical companies hold enormous stores of sensitive data. Compromise here is not merely commercial risk, it can become public risk. The concerns are even sharper in the defence sector (see *Code Red*).

> **"The world for which we built current security systems no longer exists. Until now, finding a zero day was elite work. That barrier is now democratised"**
>
> **—VINAYAK GODSE**
> *CEO, Data Security Council of India*

Experts broadly agree that old cyber doctrines are inadequate. "You cannot bring a sword to a gunfight," says Nandwani. "We need to defend using smart AI tools." That phrase captures the emerging consensus. The answer to AI-driven cyber threats may have to be AI-driven defence. Globally, regulators at the G20, Bank for International Settlements and Financial Stability Board have begun discussing frontier AI as a potential source of instability—through cyber contagion, algorithmic volatility or risk transmission. India has been part of those discussions. What has changed, officials say, is the urgency. Within the finance ministry and the RBI, work is under way to map vulnerabilities ranging from financial exploitation to liquidity stress and cross-border contagion. "Transmission across markets could be rapid," an official said.

That is pushing regulators beyond broad AI principles toward concrete guardrails: tighter oversight of AI-